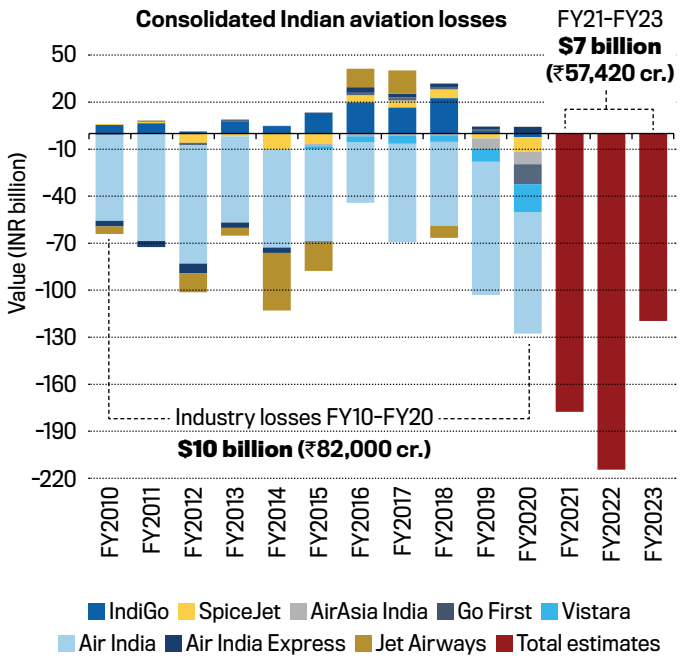
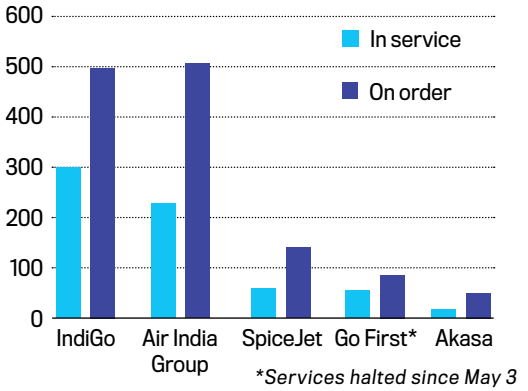
CRASHING FORTUNES

For over a decade since 2010, most Indian airlines have been incurring losses, due to expensive fuel, direct and indirect taxes as well as high maintenance and repair costs



PLANE NUMBERS

Aircraft that were in service before the Go First crisis and estimated order book of Indian carriers



*Services halted since May 3

₹1.4

LAKH CRORE

Estimated total losses of Indian airlines from FY2010 to FY2023

Source: CAPA Advisory

then that will give them some breathing time and they can come out of this crisis," says H.P. Ranina, a senior advocate with the Supreme Court. (Airlines the world over follow the sale-and-leaseback model, where an airline acquires the aircraft at an attractive price and sells them to a lessor—ideally at a profit—and leases it back for its own use.) The creditors of the airline will now appoint an interim resolution professional, who will then come to an agreement with lenders on how much of the loans can be paid back. "Maybe the lenders will have to take a haircut and reduce the loans they have extended to Go First," Ranina said in a media interview. In another setback, on May 8, the Director General of Civil Aviation ordered Go First to stop all ticket sales and slapped it with a show-cause notice for its failure to provide efficient and reliable services.

ENGINE TROUBLE

Go First's problems with Pratt & Whitney—part of the American multinational Raytheon Technologies—go back to 2011, when it placed an order for 72 narrow-body A320neo aircraft from Airbus. Pratt & Whitney is the exclusive engine supplier to Airbus. The aircraft were delivered in 2016. But engines supplied by Pratt & Whitney were found to have problems with their fan blades, an oil seal and the combustion chamber lining, say media reports, causing several A320neo planes to be grounded. The issues had also hit India's largest carrier IndiGo, which had placed an order for 300 A320neo aircraft in 2019. Pratt & Whitney agreed to compensate the airlines and provided unspecified compensation to Go First. But with the airline going through more severe engine failures, a financial dispute emerged between the two companies in 2022. In February this year, Pratt & Whitney proposed to supply replacement engines at a rate "four times lower than the failure rate". A month later, Go First filed for emergency arbitration in Singapore, getting a favourable ruling. Pratt & Whitney was directed to dispatch 10 engines by April 27 and another 10 spare lease engines per month till December 2023.

The Go First fleet comprises 55 aircraft, half of which have developed engine troubles. It said this cost the airline $1.3 billion (Rs 10,633 crore) in lost revenue and added expenses. Pratt & Whitney said that its engines were not defective even if they did not perform as desired. It said Go First's financial woes were of its own making, and it was to get $100 million (Rs 818 crore) from the airline. The airline, however, has reportedly claimed a compensation of Rs 8,000 crore for the problems with the engines and said that unless it received the amount, it will not be able to pay its creditors and vendors. Pratt & Whitney, on the other hand, has clarified that it can supply only three engines by May as no spare leased engines are available. Go First has moved a plea before a court in Delaware, US, seeking enforcement of the arbitration order.